



Ticker: **APR**

Exchange: **WSE, LSE, DB**

Industry: **Automotive Retail**

Sector: **Retail**

Market Cap: **zł3.109 bn**

Share Count: **130.62 mn**

Operations Summary:

Founded in 1993 by its current CEO and major shareholder, Auto Partner is an aftermarket parts distributor for vehicles. The company is a logistics platform and distributes the purchased spare parts to the end customers.

Clients:

In Poland, 62% of its customers are workshops, 30% are specialized shops and the remaining 8% are non-specialized shops.

100% of exports are to shops (higher margins). 70% of its sales are already online, of which 99% are international. **Online sales are a growth prospect.**

Cyclicalty:

Revenue is anti-cyclical. In recession, new vehicle sales fall. This causes an increase in the age of the fleet, resulting in more maintenance needs.

Financial Metrics:

Debt-Equity Ratio: 15.6%

Gross Margin: 25% - 30%

Operating Margin: 6% - 11%

Dividend Payout: 9% - 12%

Thesis for **LONG** Recommendation. (2-3 yr holding).

This is the **fastest growing company in a stable and consolidating sector** where size is the only competitive advantage, with an estimated market share of 1.7%.

This is a typical value stock. It is a family-run, high-growth company in a mature and boring sector. It has already shown that it can expand successfully and still has plenty of room to grow in Poland and beyond.

Positive Trends

- The **average age of cars is increasing** and is 12.3 years in Europe (ACEA) and 14.2 years in Poland (Statista).
- The fleet of vehicles in circulation is growing slowly, from 2016 to 2022, it has grown at 1.1% per year (EUROSTAT).
- The market is still fragmented and undergoing **consolidation**. Scale is the key in this industry, consolidation is inevitable.

Growth

Growth has been impressive and purely organic, growing at a CAGR of 26.4% since the IPO. Auto partner's strategy is to:

- Continuing to increase the scale of operations
- Further product diversification
- Further increase profitability
- Expanding sales in foreign markets

Growth in Poland has been very good with a CAGR of 16.2%, but **international growth has been even better with a CAGR of 35.9%.** This is very interesting because in 2023 international sales are 50% of the total. Together with the forces of consolidation this will allow the company to continue to maintain a high growth rate.

Competitive landscape

Poland: Inter Cars with 54% share, Auto Partner with 13% and Meko with 8%. This means between 3 players they have 75% of the market.

Europe: Top 10 players have 33% of market. Auto Partners is 1.7%.

Comparative Valuation (CAP IQ) - Undervalued

Company	P/E		
	2023	2024E	2025E
PHE*	N/A		
Uni-select*	32		
LKQ	11,9	10,5	9,5
GPC	14,7	14,1	13,1
MEKO	16,2	15,9	12,2
INTER CARS	10,9	9,0	8,3
Relais Group	16,9	16,9	10,6
Auto partner	13,9	10,4	8,9
Median	14,7	12,3	10,1
Average	16,4	12,7	10,4